500 trades per day. His core market is the S&P 500. He also trades foreign equity indexes, such as the DAX, Hang Seng, and Nikkei, domestic and foreign interest rate markets, major currencies, and key commodity markets, such as crude oil and gold. The S&P 500 is the hub, and Benedict pays a lot of attention to how the other major markets are correlating (either directly or inversely) with the S&P 500. Benedict is essentially a mean reversion trader—that is, he will be a seller into short-term upswings and a buyer into short-term declines. The entry level of his trades will be determined by the prevailing volatility of the market, his directional bias, if any, and changes in correlations between the markets he trades. Benedict will also trade longs in one market versus shorts in a positively correlated market (or longs in an inversely correlated market) if he thinks the short-term price relationship is overextended. Benedict maintains the risk balance of a constantly changing portfolio, containing both directly and inversely correlated positions, in his head. A former intern commented, "The things Benedict does mentally other people need computers to do."

Risk management dominates Benedict's approach. To say he is cautious is an understatement. If his losses in any month approach 2.5 percent, Benedict will liquidate the entire portfolio and start with a clean slate the next day, trading at a reduced position size. Typically, after a 2.0 percent to 2.5 percent decline, he will cut his unit size to one-half or less the normal level. Benedict will continue to trade at a smaller size until he starts making money again. The rapidity with which Benedict cuts his exposure explains why he has never had a large monthly loss. His worst month in 13 years of trading (seven years in his fund and six years previously in a managed account and proprietary account) was a moderate 3.5 percent loss.

David Horowitz, a former trader, and the chief operating officer for Banyan, describes Benedict as follows: "Larry is essentially a risk manager. It's not about making a lot of money. Of course, it's important to have return, but for Larry it's more important not to lose money. He knows that if he can manage the risk, he will make money. He understands when he is wrong, and he knows when he has to get out. Fundamental managers say, 'I'm going to buy this stock for the next six months because I think this will happen.' Technical managers say, 'If the stock goes here I will buy, and if it goes here I will sell.' Larry doesn't fit into either group. Larry has spent so